Gaming Innovation Group (: GIGSEK)

Q3 2026 Earnings — Analyst Brief · Released 28 Oct 2026 · Currency EUR (tables in € millions; ~USD at EUR/USD 1.115 shown in parentheses)

CONFIDENTIAL · INTERNAL
Prepared: 12 Nov 2026
B2Tech · via Merlin

Shares (GIG SDB, Nasdaq First North Premier Growth Market) rose 19.6% to SEK 3.23 on 28 Oct 2026 on 320,793 SDRs traded (next.io cited >22% intraday), from SEK 2.70 the prior close; the stock had traded at SEK 1.38 after the August Q2/deal announcement and remained ~31% down year-to-date. The CEO bought 294,704 shares between 28 and 30 Oct.

THE ONE-LINE VERDICT

A weak core quarter wrapped around a transformational deal. Q3-26 revenue fell 12% YoY to €8.5m (~$9.5m) — the third consecutive YoY decline, now accelerating — and adj. EBITDA fell a third to €0.8m (~$0.9m) at a 9% margin, while the net loss widened 50% to €4.5m (~$5.0m). The substance is the 30 Sep completion of 80% of 888AFRICA (€16.4m/~$18.3m), which lifts the 2027 outlook to €85-90m revenue and €17-19m adj. EBITDA; the shares rose ~20%, but the bridge to that number runs through unaudited acquired earnings, a €10.3m deferred payment against €8.0m of (partly acquired) cash, and a CFO who left five days after the print.

REVENUE (Q3-26)	ADJ. EBITDA (Q3-26)	ADJ. EBITDA MARGIN	LOSS AFTER TAX (Q3-26)	GROUP CASH (30 SEP)	FY27 OUTLOOK (NEW)
€8.5m (~$9.5m)	€0.8m (~$0.9m)	9%	€(4.5)m (~$(5.0)m)	€8.0m (~$8.9m)	€85-90m rev / €17-19m adj. EBITDA
-12% YoY / -3% QoQ	-33% YoY / flat QoQ	-300bps YoY / flat QoQ	vs €(3.0)m Q3-25; €(7.2)m Q2-26	vs €3.5m at 30 Jun (incl. 888AFRICA cash)	(~$94.8-100.4m / ~$19.0-21.2m)

1 EXECUTIVE SUMMARY

- **Core miss, deal headline.** Q3-26 revenue €8.5m (~$9.5m), -12% YoY and -3% QoQ, against a tough +31% comp in Q3-25; adj. EBITDA €0.8m (~$0.9m), -33% YoY, flat QoQ, margin 9% (-300bps). This is the third straight YoY revenue decline (Q1 -1%, Q2 -5%, Q3 -12%) and the rate of decline is accelerating. No sell-side consensus was available; Redeye and DNB Carnegie had both cut fair values ahead of/after Q2.
- **Revenue mix: recurring held, non-recurring collapsed.** Recurring revenue €7.1m (~$7.9m) vs €7.0m (+1%), now 84% of revenue vs 72%; the €1.2m YoY revenue drop is client exits (incl. the Richmond Atlantic insolvency) and €0.3m lower set-up fees, i.e. non-recurring revenue roughly halved to ~€1.4m (derived).
- **Costs down 12%, not enough.** Opex ex-exceptionals and SBC €7.0m (~$7.8m) vs €8.0m, personnel-led (-€1m); >25% headcount reduction since 1 Jan, exits from the Philippines and the white-label business. Programme: €4.5m annualised delivered plus €6.0m initiated in June = >€10m annualised savings. Management says revenue now runs above operating costs and the core should break even in Q4-26.
- **Below the line deteriorated.** Reported EBITDA €0.4m (-64%); operating loss €(4.3)m vs €(3.5)m; finance expense €0.1m and tax €0.1m; loss after tax €(4.5)m vs €(3.0)m. Implied D&A/impairment ~€4.7m per quarter (derived) — ~55% of revenue — reflects capitalised development and acquired intangibles. 9M-26: revenue €26.3m (~$29.3m, -6%), adj. EBITDA €1.8m (-31%), operating loss €(16.2)m, loss after tax €(16.9)m vs €(11.6)m.
- **Guidance bridge — nominally 'reiterated', floor nudged up, but the core was cut in August.** FY26 combined guidance now €45-48m revenue / €5.5-7.0m adj. EBITDA (~$50.2-53.5m / ~$6.1-7.8m) vs €44-48m / €5-7m at Q2 (26 Aug) and €44-48m / €10-13m standalone at Q1 (May). Since the combined range embeds ~€10-13m of 888AFRICA Q4 revenue, the standalone core has been cut to roughly €33-37m revenue and ~€3-4m EBITDA — a halving of the May EBITDA guide masked by the deal. The division driving the uplift is 888AFRICA; the division driving the underlying cut is the core B2B platform.
- **Implied Q4 arithmetic is demanding.** Guidance implies combined Q4 revenue €18.7-21.7m and adj. EBITDA €3.7-5.2m. On the Q2 call Carter pointed to ~€8.5m revenue / ~€2.2m EBITDA for the core in Q4; the balance (~€10-13m revenue, ~€1.5-3.0m EBITDA) must come from 888AFRICA. Core EBITDA stepping from €0.8m to €2.2m in one quarter is the single biggest swing factor in FY26.
- **2027 outlook introduced: €85-90m revenue, €17-19m adj. EBITDA** (first full year of 888AFRICA). Against the August standalone indication (€36-37m / €8-9m), this implies 888AFRICA contributing ~€48-54m revenue and ~€8-11m adj. EBITDA (derived) — i.e. ~15-20% margin vs 13% in Q2-26. Note Carter's August verbal framing was ~€18-20m EBITDA (per casino.org), so the formal range is ~€1m lighter at both ends.
- **888AFRICA terms.** 80% stake from Virtual Emerging Entertainment Ltd for €16.4m (~$18.3m): €6.1m (~$6.8m) paid at completion (30 Sep 2026), €10.3m (~$11.5m) in instalments within 10 months; no further contingent payments; management retains 20%; GiG is not obliged to keep the 888 brand. Target metrics (management-sourced, unaudited): ~$50m (~€45m) annualised NGR run-rate, Q2-26 NGR +30% YoY / +17% QoQ, 13% adj. EBITDA margin, >$1m net cash generated in Q2. Implied ~3.5x run-rate adj. EBITDA for 100% (derived).
- **Several outlets state the deal 'completed in August'; the company's release says 30 September 2026.** We use the company date — it matters because it means zero P&L contribution in Q3 and only balance-sheet consolidation (cash) at quarter-end.
- **Funding: €8.5m raised 26 Aug** — €2.5m (~$2.8m) directed SDR issue at SEK 1.725 (~9% dilution; SDRs to 176.9m) taken by the MJ and ZJ Foundations and the CEO, plus €6.0m (~$6.7m) two-year convertible loans at 15% p.a. (lenders: Carter, Myrild AS, Nalavio Ltd), 25% convertible every six months at a 10% discount to 10-day VWAP. Cash interest ~€0.9m (~$1.0m) p.a.; conversion mechanics are structurally dilutive.
- **Liquidity is the bear case.** Group cash €8.0m (~$8.9m) at 30 Sep 'reflecting the consolidation of 888AFRICA' — i.e. it includes the target's cash; the core's own cash is probably ~€4-5m (our estimate: €3.5m + €8.5m raised − €6.1m upfront − Q3 burn). Against that sit €10.3m of deferred consideration due by ~Jul-27, ~€0.9m p.a. of convertible coupon and a core that has not yet printed a cash-positive quarter. Net debt/leverage not disclosed in the sources read [unverified].
- **Commercial momentum is real but small.** One new partner signed and one extension (Luckydays three-year platform renewal); three brand

launches in Q3, all in Alberta with existing partners (market opened July; LuckyDays live on day one, 15 Jul). Post-quarter: PowerPlay went live in Alberta (8 Oct, first SportX deployment in the province) and River Cree Resort & Casino signed as the fifth Alberta brand (Oct). CoreX certified for Spain (20 Jul), where partners hold ~9% combined share.

- **Governance: CFO out five days after results.** Phil Richards (CFO since Jul-24) left effective 2 Nov 2026 to become CFO of Chaos; a search is under way with interim arrangements. Offsetting signal: CEO Richard Carter bought 294,704 shares on 28-30 Oct, after 1.5m shares in September (holding ~5.1m before the latest purchase), and he is both an equity subscriber and a convertible lender.
- **Share reaction: +19.6% to SEK 3.23** on 28 Oct (320,793 SDRs traded; next.io cited >22% intraday), from SEK 2.70, versus SEK 1.38 after the August Q2/deal announcement; still ~-31% YTD. Market cap roughly €50m, EV ~€55m before deferred consideration (MarketScreener).
- **Strategic read-through: B2B pure-play becomes a B2C-led group.** Management now describes 888AFRICA as the 'high-growth second engine'; in reality on 2027 numbers it would be ~55-60% of revenue and more than half of EBITDA. Points to underwrite: channel conflict with African B2B prospects, 20% minority leakage on the best asset, FX (MZN/AOA/TZS alongside existing ARS exposure), and whether a sub-scale platform business with ~€36m revenue can sustain 23-25% margins as implied for 2027.
- **Disclosure gaps.** The headline release gives no product (platform vs sportsbook) or geographic split, no EPS, and no balance-sheet/cash-flow detail; 888AFRICA figures are management-sourced; secondary coverage shows 9M-25 adj. EBITDA as €2.8m vs the company's €2.6m (we use the company figure). The full interim PDF could not be opened within this exercise.
- **Thesis.** The equity is now a levered bet that 888AFRICA's growth and cash conversion fund the €10.3m deferred payment while the core reaches breakeven; if the 2027 guide is delivered, the stock trades at roughly 3-4x EV/EBITDA on attributable earnings (our rough estimate incl. deferred consideration and minorities). If the core Q4 step-up slips, a further raise — likely via the discounted convertibles — is the base case.

2 GROUP FINANCIAL SUMMARY

€M (~USD AT 1.115)	Q3-26	Q2-26	QOQ	Q3-25	YOY	9M-26	9M-25	9M YOY
REVENUE BY SEGMENT								
Core B2B platform (GiG standalone)	8.5 (~$9.5)	8.8 (~$9.8)	-3%	9.7 (~$10.8)	-12%	26.3 (~$29.3)	28.0 (~$31.2)	-6%
888AFRICA (B2C; consolidated 30 Sep 2026)	0.0 (no P&L contribution)	n/a	n/a	n/a	n/a	0.0	n/a	n/a
Group revenue	**8.5 (~$9.5)**	**8.8 (~$9.8)**	**-3%**	**9.7 (~$10.8)**	**-12%**	**26.3 (~$29.3)**	**28.0 (~$31.2)**	**-6%**
REVENUE BY TYPE								
Recurring (platform/sportsbook fees)	7.1 (~$7.9)	n/a	n/a	7.0 (~$7.8)	+1%	n/a	n/a	n/a
Non-recurring (set-up fees etc.; derived)	~1.4 (~$1.6)	n/a	n/a	~2.7 (~$3.0)	~-48%	n/a	n/a	n/a
Recurring as % of revenue	84%	n/a	n/a	72%	+12pp	n/a	n/a	n/a
COSTS								
Opex ex-exceptionals & SBC	7.0 (~$7.8)	n/a	n/a	8.0 (~$8.9)	-12%	n/a	n/a	n/a
PROFITABILITY								
Adj. EBITDA (company definition)	**0.8 (~$0.9)**	**0.8 (~$0.9)**	**flat**	**1.2 (~$1.3)**	**-33%**	**1.8 (~$2.0)**	**2.6 (~$2.9)**	**-31%**
Adj. EBITDA margin	9%	9%	flat	12%	-300bps	7%	9%	-200bps
EBITDA (reported)	0.4 (~$0.4)	n/a	n/a	1.1 (~$1.2)	-64%	(2.0) (~$(2.2))	2.3 (~$2.6)	n/m
Operating loss (EBIT)	(4.3) (~$(4.8))	(6.9) (~$(7.7))	loss narrowed	(3.5) (~$(3.9))	loss +23%	(16.2) (~$(18.1))	(11.6) (~$(12.9))	loss +40%
Loss after tax (IFRS)	**(4.5) (~$(5.0))**	**(7.2) (~$(8.0))**	**loss narrowed**	**(3.0) (~$(3.3))**	**loss +50%**	**(16.9) (~$(18.8))**	**(11.6) (~$(12.9))**	**loss +46%**
Loss per share (basic)	n/a [not in sources read; ~€(0.03) est.]	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Adjusted EPS	not reported	n/a	n/a	n/a	n/a	n/a	n/a	n/a
KPIS								
Brand launches (all Alberta)	3	n/a	n/a	n/a	n/a	n/a	n/a	n/a
New partners / extensions	1 / 1	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Headcount change since 1 Jan 2026	>-25%	n/a	n/a	n/a	n/a	>-25%	n/a	n/a
CASH & BALANCE SHEET								
Cash & equivalents (group; incl. 888AFRICA)	**8.0 (~$8.9)**	**3.5 (~$3.9)**	**+129%**	**4.7 (~$5.2)**	**+70%**	**8.0 (~$8.9)**	**4.7 (~$5.2)**	**+70%**
Convertible loans (15% p.a., 2-yr)	6.0 (~$6.7)	0.0	new	0.0	new	6.0 (~$6.7)	0.0	new
Deferred consideration (888AFRICA, due ≤10 months)	10.3 (~$11.5)	0.0	new	0.0	new	10.3 (~$11.5)	0.0	new
Net debt / leverage	n/a [unverified]	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Operating / free cash flow	n/a [unverified]	n/a	n/a	n/a	n/a	n/a	n/a	n/a

3 SEGMENT DEEP-DIVE — CORE B2B PLATFORM & SPORTSBOOK (GIG STANDALONE)

> **Recurring base held at €7.1m but non-recurring halved; opex -12% could not offset a -12% top line, leaving adj. EBITDA at €0.8m/9% for a second quarter and a Q4 breakeven promise doing the heavy lifting.**

REVENUE AND MIX

Revenue fell 12% YoY to €8.5m (~$9.5m) as client exits and lower set-up fees offset a flat recurring line of €7.1m.

- Revenue down 3% QoQ from €8.8m (~$9.8m), lapping a quarter in which revenue had grown 31%.
- Decline attributed chiefly to the Richmond Atlantic insolvency (which triggered a €3m bad-debt provision in Q2) and €0.3m (~$0.3m) lower set-up fees.
- Recurring revenue €7.1m (~$7.9m) versus €7.0m; 84% of revenue against 72% a year ago.
- Non-recurring revenue roughly halved to ~€1.4m (~$1.6m) from ~€2.7m (~$3.0m).
- Flat recurring after Ontario and Alberta go-lives implies churn (Richmond Atlantic, Philippines exit, white-label wind-down) is absorbing essentially all new-business ramp.
- No product or geographic split is disclosed, so analysis is at segment level.

COSTS AND PROFITABILITY

Opex fell 12% to €7.0m but adj. EBITDA was still €0.8m (~$0.9m), down 33% YoY, at a 9% margin.

- Opex excluding exceptionals and SBC fell to €7.0m (~$7.8m) from €8.0m (~$8.9m), almost entirely personnel (-€1m) after January redundancies; headcount down more than 25% since 1 January.
- Implied cost of sales ~€0.7m (~$0.8m, ~8% of revenue).
- Adj. EBITDA flat QoQ; margin 9% (12% in Q3-25, 9% in Q2-26); 9M margin 7% versus 9%.
- Reported EBITDA €0.4m (~$0.4m, -64%); €0.4m of adjustments versus €0.1m a year ago, so the adjustment load is rising.
- ~€4.7m D&A and impairment took operating loss to €(4.3)m (~$(4.8)m) from €(3.5)m; loss after tax €(4.5)m (~$(5.0)m), 50% wider YoY, narrower than Q2's €(7.2)m.
- D&A above half of revenue, legacy of capitalised development and Sportnco intangibles, will keep IFRS earnings deeply negative even if EBITDA turns.

> *"protecting delivery"* — **CFO**

ALBERTA AND COMMERCIAL

The quarter was about Alberta: three brand launches with existing partners, with PowerPlay and River Cree following post-quarter, but none yet visible in recurring revenue.

- Alberta regulated market opened in July; GiG secured AGLC registration and took LuckyDays live on day one (15 July).
- Three brand launches in the quarter, all Alberta, all existing partners; one new partner signed and one extension (LuckyDays' three-year platform renewal).
- Post-quarter: PowerPlay live in Alberta on 8 October, first SportX sportsbook in the province; River Cree Resort & Casino signed mid-October as fifth Alberta brand on full end-to-end stack.
- CoreX certified for Spain on 20 July, where partners generate an estimated 9% combined market share.
- Alberta launches with existing partners carry little or no set-up fee.

> *"contracted pipeline of go-lives"* — **Management**

GUIDANCE

Standalone breakeven is promised for Q4-26, but guidance arithmetic needs ~€2.2m quarterly EBITDA; we would underwrite €1.3-1.7m until printed.

- Standalone expected to break even in Q4-26 and be cash generative by year-end; Carter says incremental revenue flows through to cash.
- FY26 combined adj. EBITDA €5.5-7.0m less 9M €1.8m implies €3.7-5.2m in Q4; Carter pointed to ~€8.5m revenue and ~€2.2m EBITDA for the core.
- Stepping from €0.8m to ~€2.2m on flat revenue requires the full >€10m annualised savings (~€2.5m per quarter) in run-rate with no offsetting churn.
- August 2027 standalone outlook (€36-37m revenue, €8-9m adj. EBITDA, €3-4m cash flow) not withdrawn but folded into combined number; implies 23-25% margin versus a never-exceeded 12%.

OUR READ

The core is run for cash rather than growth, the right call, but the equity story now rests on three unproven things.

- Alberta/Ontario go-lives converting to recurring revenue in H1-27.
- No further client failures of Richmond Atlantic scale.
- The Q4 cost run-rate holding.
- Lack of product/geographic split hides whether SportX is gaining share or Spain and Canada offset legacy Malta-licensed attrition; that opacity is a discount factor in its own right.

CORE B2B PLATFORM, €M (~USD AT 1.115)	Q3-26	Q2-26	QOQ	Q3-25	YOY	9M-26	9M YOY
Revenue	**8.5 (~$9.5)**	**8.8 (~$9.8)**	**-3%**	**9.7 (~$10.8)**	**-12%**	**26.3 (~$29.3)**	**-6%**
Recurring revenue	7.1 (~$7.9)	n/a	n/a	7.0 (~$7.8)	+1%	n/a	n/a
Non-recurring revenue (derived)	~1.4 (~$1.6)	n/a	n/a	~2.7 (~$3.0)	~-48%	n/a	n/a
Recurring % of revenue	84%	n/a	n/a	72%	+12pp	n/a	n/a
Lower set-up fees (YoY impact)	(0.3) (~$(0.3))	n/a	n/a	n/a	n/a	n/a	n/a
Opex ex-exceptionals & SBC	7.0 (~$7.8)	n/a	n/a	8.0 (~$8.9)	-12%	n/a	n/a
Implied cost of sales (derived)	~0.7 (~$0.8)	n/a	n/a	~0.5 (~$0.6)	n/a	n/a	n/a
Adj. EBITDA	**0.8 (~$0.9)**	**0.8 (~$0.9)**	**flat**	**1.2 (~$1.3)**	**-33%**	**1.8 (~$2.0)**	**-31%**
Adj. EBITDA margin	9%	9%	flat	12%	-300bps	7%	-200bps
EBITDA (reported)	0.4 (~$0.4)	n/a	n/a	1.1 (~$1.2)	-64%	(2.0) (~$(2.2))	n/m (vs +2.3)
Adjustments: SBC / termination / exceptional (derived)	0.4 (~$0.4)	n/a	n/a	0.1 (~$0.1)	n/m	3.8 (~$4.2)	n/m
D&A & impairment (derived)	~4.7 (~$5.2)	n/a	n/a	~4.6 (~$5.1)	~+2%	~14.2 (~$15.8)	n/a
Operating loss (EBIT)	(4.3) (~$(4.8))	(6.9) (~$(7.7))	narrowed	(3.5) (~$(3.9))	loss +23%	(16.2) (~$(18.1))	loss +40%
Net finance & tax (derived)	(0.2) (~$(0.2))	(0.3) (~$(0.3))	n/a	+0.5 (~$0.6)	n/m	(0.7) (~$(0.8))	n/a
Loss after tax	**(4.5) (~$(5.0))**	**(7.2) (~$(8.0))**	**narrowed**	**(3.0) (~$(3.3))**	**loss +50%**	**(16.9) (~$(18.8))**	**loss +46%**
Brand launches	3 (Alberta)	n/a	n/a	n/a	n/a	n/a	n/a
New partners / extensions	1 / 1	n/a	n/a	n/a	n/a	n/a	n/a
Alberta partners (cumulative, post-quarter)	5	n/a	n/a	0 (market not open)	n/m	5	n/m
Headcount vs 1 Jan 2026	>-25%	n/a	n/a	n/a	n/a	>-25%	n/a
Implied Q4-26 core (mgmt, Q2 call) — revenue / adj. EBITDA	~8.5 / ~2.2 (est.)	n/a	n/a	n/a	n/a	n/a	n/a
2027 standalone indication (Aug) — revenue / adj. EBITDA / cash flow	36-37 / 8-9 / 3-4 (~$40-41 / ~$9-10 / ~$3-4)	n/a	n/a	n/a	n/a	n/a	n/a

4 SEGMENT DEEP-DIVE — 888AFRICA (B2C — MOZAMBIQUE, ANGOLA, TANZANIA; 80% OWNED, CONSOLIDATED FROM 30 SEP 2026)

The 'second engine' is already the bigger one: ~$50m NGR run-rate, +30% YoY, 13% margin and cash-generative — bought at ~3.5x run-rate EBITDA, but with €10.3m still to pay and every number so far management-sourced.

DEAL TERMS

GiG bought 80% of 888AFRICA on 30 September 2026 for €16.4m (~$18.3m), with €10.3m still to pay and no Q3 contribution.

- Agreement in principle 25-26 August, binding SPA 28 September, completion 30 September; incumbent management retains 20%, described by Carter as highly aligned.
- €6.1m (~$6.8m) paid at completion; €10.3m (~$11.5m) in instalments within ten months; no contingent payments; no obligation to keep the 888 brand.
- Only visible Q3 effect is group cash rising to €8.0m (~$8.9m) from €3.5m, attributed to consolidating the target.
- Several outlets say the deal closed 'in August'; the company's own date is 30 September.

ASSET AND VALUATION

Management-sourced numbers show ~$50m NGR run-rate, +30% YoY, 13% margin, implying ~3.5x run-rate EBITDA paid.

- Market-leading in Mozambique, licensed in Angola and Tanzania, launched late 2022; Q2-26 NGR up 30% YoY and 17% QoQ (one source says 19%); >$1m (~€0.9m) net cash generated in the quarter.
- 'Total revenue' cited rising 32% from €11.3m in Q4-25 to €14.8m in Q2-26 is probably gross pre-bonus; we would not annualise it.
- $50m NGR at 13% margin gives ~$6.5m (~€5.8m) run-rate adj. EBITDA; 100% price €20.5m implies ~3.5x EBITDA and ~0.45x NGR, cheap versus European B2C, reflecting jurisdictional, FX and counterparty risk.
- Ambition: top-three African online operator by revenue and profit within five years, including M&A beyond three current markets.

FORWARD CONTRIBUTION

Guidance implies 888AFRICA delivering ~€48-54m revenue and ~€8-11m adj. EBITDA in 2027, with margin expansion the stretch.

- Q4-26 implied contribution ~€10-13m (~$11-14.5m) revenue and ~€1.5-3.0m adj. EBITDA (combined €18.7-21.7m / €3.7-5.2m less core ~€8.5m / ~€2.2m).
- 2027 group guidance €85-90m revenue, €17-19m adj. EBITDA less standalone €36-37m / €8-9m leaves ~€48-54m (~$54-60m) and ~€8-11m (~$9-12m).
- Implies ~10-20% growth on $50m run-rate, conservative versus +30%, and margin to ~17-20% from 13%, dependent on cost actions and platform synergy.
- Twenty percent accrues to the minority; attributable 2027 adj. EBITDA ~€6.5-9m.

FUNDING AND FX

Funding is the pressure point: the €10.3m deferred balance leaves little room for a weak quarter on either side.

- €8.5m raise (equity at SEK 1.725 plus €6m of 15% two-year convertibles, 25% convertible each half-year at 10% discount to VWAP) covered €6.1m upfront with ~€2.4m spare.
- Deferred €10.3m must come from 888AFRICA cash (perhaps €3-5m over ten months), the core turning cash positive, and group cash of €8.0m, of which only ~€4-5m sits in the core.
- Convertible structure means marginal equity is raised at a discount to an already-reset share price.
- FX: metical, kwanza and shilling earnings consolidated into euro, on top of existing Argentine peso exposure in B2B.

OUR READ

Price is attractive if numbers are real, but the market is capitalising unaudited earnings; Q4-26 is the first real datapoint.

- Early evidence supportive: cash generation, management rollover, CEO co-investing; regulatory footing in Mozambique must hold.
- First consolidated quarter (Q4-26, reported February 2027) will show NGR, promo intensity, margin, cash conversion and instalment schedule.
- Watch for channel conflict: GiG sells its platform to African operators and now owns one.

888AFRICA DEAL & OPERATING METRICS (MANAGEMENT-SOURCED; € AND ~USD AT 1.115)	VALUE	COMPARISON / BASIS	STATUS
Stake acquired	80%	management retains 20%	completed 30 Sep 2026
Total consideration	**€16.4m (~$18.3m)**	**~3.5x run-rate adj. EBITDA for 100% (derived); ~0.45x NGR**	**no further contingent payments**
Upfront payment	€6.1m (~$6.8m)	funded from €8.5m Aug raise	paid at completion
Deferred consideration	€10.3m (~$11.5m)	instalments within 10 months (by ~Jul-27)	outstanding
Annualised NGR run-rate	**~$50m (~€45m)**	**per GiG investor presentation**	**Q2-26 basis, unaudited**
Q2-26 NGR growth	+30% YoY / +17% QoQ	one source cites +19% QoQ	pre-close
'Total revenue' Q4-25 → Q2-26 (Q2 call)	€11.3m → €14.8m (+32%) (~$12.6m → ~$16.5m)	basis (GGR vs NGR) not confirmed	pre-close
Adj. EBITDA margin	13% (Q2-26)	expanding as cost actions take effect (mgmt)	pre-close
Net cash generated	>$1m (~€0.9m) in Q2-26	supports deferred-payment funding	pre-close
Markets	Mozambique (#1), Angola, Tanzania	licensed in all three; launched late 2022	live
Implied Q4-26 contribution (derived from guidance)	revenue ~€10-13m (~$11-14.5m); adj. EBITDA ~€1.5-3.0m (~$1.7-3.3m)	combined Q4 guide less core indication	estimate
Implied FY27 contribution (derived)	**revenue ~€48-54m (~$54-60m); adj. EBITDA ~€8-11m (~$9-12m)**	**group FY27 guide less Aug standalone indication**	**estimate**
Minority leakage	20% of 888AFRICA earnings	attributable FY27 adj. EBITDA ~€6.5-9m (est.)	structural
Q3-26 P&L contribution	nil	closed on last day of quarter	balance-sheet consolidation only

5 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- **Recurring revenue held at €7.1m (~$7.9m), +1% YoY, now 84% of the mix** despite the Richmond Atlantic insolvency and exits from the Philippines/white-label — the base the 2027 core guide is built on did not shrink. structural
- **Opex ex-exceptionals -12% YoY to €7.0m (~$7.8m); >€10m (~$11.2m) annualised savings enacted (€4.5m delivered + €6.0m initiated in June); headcount >25% lower since 1 Jan.** Core guided to breakeven in Q4-26 and cash generative by year-end. structural
- **888AFRICA closed at ~3.5x run-rate EBITDA (derived) for a #1 operator in Mozambique growing NGR 30% YoY, 13% margin, >$1m quarterly net cash**; management rolled 20%, no earn-outs, no brand-licence dependency on 888. early
- **FY27 outlook of €85-90m revenue / €17-19m adj. EBITDA (~$94.8-100.4m / ~$19.0-21.2m)** roughly doubles revenue and triples EBITDA versus FY26 guidance; FY26 floor nudged up to €45m / €5.5m. early
- **Alberta footprint built in one quarter: three launches in Q3, five partners by mid-October (LuckyDays day-one, Casino Time, PowerPlay incl. first SportX deployment, River Cree) plus Luckydays 3-year renewal and CoreX Spain certification** — a contracted pipeline for 2027 recurring revenue. structural
- **Group cash €8.0m (~$8.9m) vs €3.5m at June and €4.7m a year ago**, and the shares +19.6% on the day — the market gave credit for the strategic reset. mixed
- **Insider alignment: CEO bought 294,704 shares on 28-30 Oct after 1.5m in September, and personally funded both the equity placing and the convertible** alongside the two largest holders. structural

▼ LOWLIGHTS

- **Revenue -12% YoY to €8.5m (~$9.5m), -3% QoQ — third consecutive YoY decline and accelerating (Q1 -1%, Q2 -5%, Q3 -12%)**; non-recurring revenue roughly halved and client churn is absorbing all new-business ramp. structural
- **Adj. EBITDA €0.8m (~$0.9m), -33% YoY, 9% margin for a second quarter; implied standalone FY26 EBITDA has gone from €10-13m (May) to ~€3-4m (derived) — a halving masked by presenting 'combined' guidance.** structural
- **Loss after tax -50% to €(4.5)m (~$(5.0)m); 9M €(16.9)m (~$(18.8)m) vs €(11.6)m; ~€4.7m/quarter of D&A keeps IFRS earnings deeply negative regardless of EBITDA progress.** structural
- **CFO Phil Richards left five days after the print (effective 2 Nov) with a search only just initiated**, at the moment the group must integrate a B2C business, pay €10.3m of deferred consideration and manage a convertible. governance
- **Funding gap: €10.3m (~$11.5m) due within 10 months plus ~€0.9m p.a. of 15% coupon, against €8.0m of group cash of which only ~€4-5m (est.) is the core's; the convertibles convert at a 10% discount to VWAP** — further dilution is the base case if Q4 slips. watch
- **Guidance arithmetic requires combined Q4 adj. EBITDA of €3.7-5.2m (~$4.1-5.8m) vs €0.8m delivered by the core in Q3, including a core step-up to ~€2.2m** — the biggest single execution risk in FY26. watch
- **Disclosure thin and 888AFRICA numbers unaudited: no product/geographic split, no EPS or balance-sheet detail in the headline release, secondary sources disagree on the deal's completion date and 9M-25 EBITDA; strategic pivot from B2B pure-play to B2C creates channel conflict and 20% minority leakage.** mixed

6 FORECAST & OUTLOOK

Guidance bridge. The guidance bridge has three steps. In May (Q1), standalone FY26 guidance was €44-48m revenue and €10-13m adj. EBITDA. In August (Q2), alongside the 888AFRICA announcement, this became a combined €44-48m / €5-7m assuming a full Q4 contribution from the target — which, because ~€10-13m of Q4 revenue now comes from 888AFRICA, amounted to cutting the core to ~€33-37m revenue and ~€3-4m EBITDA. In October (Q3) the combined range was 'reiterated' with the floor raised to €45m / €5.5m (~$50.2m / ~$6.1m), reflecting deal certainty and 888AFRICA's growth rather than any improvement in the core. A formal FY27 range of €85-90m / €17-19m (~$94.8-100.4m / ~$19.0-21.2m) was added; against the August standalone indication (€36-37m / €8-9m) it implies ~€48-54m / ~€8-11m from 888AFRICA, and sits ~€1m below the €18-20m EBITDA Carter had floated verbally in August.

FY26 REVENUE (COMBINED)	FY26 ADJ. EBITDA (COMBINED)	FY27 REVENUE (FIRST FULL YEAR OF 888AFRICA)	FY27 ADJ. EBITDA
€45-48m (~$50.2-53.5m)	**€5.5-7.0m (~$6.1-7.8m)**	**€85-90m (~$94.8-100.4m)**	**€17-19m (~$19.0-21.2m)**
from €44-48m (Aug); €44-48m standalone (May)	from €5-7m (Aug); €10-13m standalone (May)	new; vs €36-37m standalone indication (Aug)	new; vs €8-9m standalone (Aug); ~€18-20m verbal (Aug call)

Independent view. Q4-26 (our estimate): combined revenue ~€19-21m (~$21-23m) — core ~€8.3-8.7m on flat recurring revenue and minimal set-up fees, plus 888AFRICA ~€10.5-12m at the $50m run-rate with modest growth; combined adj. EBITDA ~€3.0-4.0m (~$3.3-4.5m), assuming core €1.3-1.7m (not the ~€2.2m indicated) and 888AFRICA €1.5-2.3m at 13-19%. That puts **FY26 revenue at ~€45-47m, inside the range, but adj. EBITDA at ~€4.8-5.8m — at or just below the €5.5m floor**; the risk is skewed to the low end because the core's cost run-rate has to drop a further ~€1m per quarter with no churn offset. **FY27:** we would model revenue of ~€82-88m (core flat at ~€35-36m as Alberta/Spain go-lives offset attrition; 888AFRICA ~€47-52m on 10-15% NGR growth, i.e. we assume growth decelerates from +30%) and adj. EBITDA of ~€13-16m (~$14.5-17.8m) versus guidance of €17-19m — our gap is the core margin, where we assume ~17-20% rather than the 23-25% implied, and 888AFRICA at ~16-18%. Attributable adj. EBITDA after the 20% minority is ~€11-14m. **Leverage/liquidity direction: worse before better.** Net debt rises mechanically as the €10.3m deferred consideration is paid out of cash through Jul-27 while €6m of 15% convertibles sit on the balance sheet; we expect at least partial conversion (dilutive at a 10% VWAP discount) and would not rule out a further equity raise in H1-27 if Q4 core EBITDA prints below ~€1.5m. **IFRS earnings** stay negative through 2027 on ~€18-19m of annual D&A plus acquisition amortisation and purchase-price allocation on 888AFRICA. **Valuation sense-check (rough):** at ~€50m market cap and ~€55m EV before deferred consideration, adding €10.3m of deferred payments and adjusting for minorities gives ~4-5x our FY27E attributable EBITDA and ~3.5-4x on guidance — undemanding if delivered, but the delivery risk is concentrated in a business the market has not yet seen a consolidated quarter from. **Swing factors:** the Q4 core cost run-rate; 888AFRICA NGR growth and promo intensity in its first consolidated quarter; MZN/AOA/TZS FX; any further client insolvency; timing of Alberta go-lives (River Cree) converting to recurring revenue; the convertible conversion schedule; and the CFO appointment.

What to watch next quarter:

- Q4-26 print (Feb 2027): core adj. EBITDA vs the ~€2.2m indication and whether the core is cash-positive; first consolidated 888AFRICA quarter — NGR, margin, net cash generated, and the GGR-vs-NGR revenue basis.
- Deferred consideration: cadence of the €10.3m instalments through ~Jul-27 and the cash source (888AFRICA dividends/upstreaming vs core cash vs new financing); any conversion notices on the €6m 15% convertibles and resulting dilution.
- CFO succession: permanent appointment and whether interim arrangements affect the FY26 audit and first consolidated accounts for 888AFRICA (PPA, goodwill, NCI).
- Core commercial conversion: River Cree and further Alberta go-lives, Spain CoreX migrations, and whether recurring revenue moves above €7.1m in Q4/Q1; any further client exits or bad-debt provisions after Richmond Atlantic.
- Disclosure improvements: product (platform/sportsbook) and geographic revenue split, EPS, cash-flow statement and net debt in the Q4 report — and clarification of the FY27 standalone vs 888AFRICA split.
- African regulatory and FX developments in Mozambique, Angola and Tanzania; evidence of channel conflict with GiG's B2B African prospects.
- Share-count creep: SDRs at 176.9m post-placing, plus LTIP issuance and convertible conversions.

DATA CONFIDENCE: MEDIUM Headline P&L (revenue, recurring revenue, opex, adj. EBITDA/margin, EBITDA, operating loss, loss after tax, cash, FY26/FY27 guidance) verified against the company's 28 Oct 2026 regulatory release (Cision/Inderes) and corroborated by at least three secondary reports; Q2-26 comparatives from the company's 26 Aug 2026 release. The full Q3 interim PDF, slide deck and call transcript could not be opened within this exercise (fetch limit), so EPS, balance-sheet net debt, cash-flow statement and any product/geographic split are marked n/a or explicitly derived; derived lines (non-recurring revenue, cost of sales, D&A, adjustments, implied Q4 and FY27 contributions, 888AFRICA multiples) are arithmetic from disclosed figures and labelled as such. 888AFRICA operating metrics are management-sourced and unaudited. Discrepancies noted: several outlets say the deal closed in August (company: 30 Sep 2026); gamblingnews.com shows FY26 revenue guidance as €45-47m (company: €45-48m); sigma.world shows 9M-25 adj. EBITDA €2.8m (company: €2.6m). FX: EUR/USD ~1.115 as of 28 Oct 2026, inferred from same-day press conversions (gamblingnews.com) rather than a direct rate lookup — treat USD figures as approximate; share price left in SEK (no verified USD/SEK rate for the date). Ticker note: the company trades as GIG SDB (Nasdaq First North Premier, Stockholm; ISIN SE0022760229) and GIGXF (OTCQX), domiciled in Malta as GiG Software P.L.C.; FY ends 31 December.

Sources: [Primary] GiG Software Plc — Q3 2026 Financial Results, regulatory release 28 Oct 2026 (via Inderes; Cision PDF attachment at mb.cision.com/Main/23269/4416261/4342110.pdf); [Primary] GiG Software Plc — Q2 2026 and H1 2026 Financial Results, 26 Aug 2026 (Cision); [Primary] GiG Software Plc — directed share issue and convertible loans raising EUR 8.5m, 26 Aug 2026; [Primary] GiG Software Plc — Notice of Change of Chief Financial Officer, 2 Nov 2026 (Cision); [Primary] GiG Software Plc — Notice of Q3 Results and Investor Presentation, 30 Sep 2026 (Inderes); [Primary] Seeking Alpha — GiG Software (GIGXF) Q3 2026 earnings call transcript (opening remarks only accessed); [Secondary] Investing.com — GiG Software Q2 2026 earnings call transcript (Q4 core indication; 2027 standalone outlook); [Secondary] Investing.com — GiG Q2 2026 slides: Africa bet amid cost-cutting drive; [Secondary] NEXT.io — Q3 2026: GiG Software profit plummets despite cost savings (user-supplied); [Secondary] NEXT.io — GiG Software 'sharper, fitter' after slashing 25% of workforce (user-supplied); [Secondary] iBetAfrica — GiG bets on 888AFRICA after €4.3m quarterly operating loss (user-supplied); [Secondary] Gaming Intelligence — GiG Software revenue decline continues into third quarter (user-supplied; paywalled, headline only); [Secondary] Gambling.com — GiG Software Q3 revenue falls 12% as 888AFRICA deal completes (opex, set-up fee impact); [Secondary] GamblingNews — GiG Software posts Q3 results (USD conversions used for FX inference; note €45-47m guidance typo); [Secondary] SiGMA World — GiG Q3 report reaffirms 2026 outlook; [Secondary] AffPapa — GiG Software Q3 2026 revenue falls by 12%; [Secondary] MarketScreener — GiG Software p.l.c. quote page (daily closes 28 Oct–3 Nov 2026; market cap/EV; event timeline); [Secondary] iGaming Times — GiG signs binding deal for 80% of 888AFRICA, €10.3m due within 10 months; [Secondary] Global Gaming Insider — GiG Software completes €16.4m deal for 80% of 888AFRICA; [Secondary] Focus Gaming News — 888AFRICA targets top-three African position after GiG deal; [Secondary] Casino.org — GiG enters €16.4m deal for 888Africa (August call: verbal 2027 framing); [Secondary] Gaming Intelligence — River Cree Resort & Casino selects GiG for Alberta (fifth Alberta partner); [Secondary] InterGame — PowerPlay launches GiG-backed sportsbook in Alberta (8 Oct 2026); [Secondary] Redeye — commissioned post-results note 26 Feb 2026 (FY26 standalone guidance €44-48m / €10-13m); [Secondary] Gaming Intelligence — GiG Software announces immediate departure of CFO.

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.